

**Question 1**

Answer saved

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 Flag question

Which of the following would a Classical economist likely advocate during a recession?

Select one:

- ☐ a. Increased government spending.
- ☒ b. No intervention; the market will correct itself.
- ☐ c. Increased regulation on businesses.
- ☐ d. Tax cuts to boost consumption.

[Clear my choice](#)

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**Question 2**

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Flag question

Identify the correct statement?

Select one:

- ☐ a. Following a monetary stimulus, the central bank must buy foreign exchange to maintain the fixed exchange rate.
- ☒ b. Following a monetary stimulus, the central bank must sell foreign exchange to maintain the fixed exchange rate.
- ☐ c. A and C.
- ☐ d. Following a monetary stimulus, the central bank must buy and sell foreign exchange to maintain the fixed exchange rate.

[Clear my choice](#)

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**Question 3**

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Flag question

The aggregate stock of domestic money owned by the public in a country is?

Select one:

- ☐ a. Money demand.
- ☐ b. Velocity of money.
- ☐ c. Liquidity of money.
- ☒ d. Money supply.

[Clear my choice](#)

**Question 4**

Answer saved

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Flag question

What is the primary purpose of financial instruments?

Select one:

- ☐ a. To replace physical currency in the economy.
- ☐ b. To regulate government spending.
- ☐ c. To measure GDP growth.
- ☒ d. To facilitate the transfer of funds.

[Clear my choice](#)

**Question 5**

Answer saved

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 Flag question

From the following transactions, one is recorded as a debit in the balance of payments account of Ethiopia?

Select one:

- ☒ a. Transportation and travel expenses by Ethiopia's residents abroad.
- ☐ b. All.
- ☐ c. Ethiopia's export of coffee.
- ☐ d. The income Ethiopia receives from investments abroad.

[Clear my choice](#)

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**Question 6**

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 Flag question

Which one of the following is incorrect?

Select one:

- ☐ a. If the dependent variable is a dummy, OLS and logit models give different results.
- ☐ b. Exponentiating the logit coefficient gives us the odds ratio.
- ☒ c. As probability moves from 1 to 0, the logit varies from $-\infty$ to $+\infty$.
- ☐ d. Logit and probit models use maximum likelihood estimation to estimate beta values.

[Clear my choice](#)

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**Question 7**

Answer saved

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Flag question

Insurance companies function as financial intermediaries by?

Select one:

- ☐ a. Regulating foreign currency exchange rates.
- ☐ b. Trading shares in the stock market.
- ☐ c. Offering high-interest loans.
- ☒ d. Pooling premiums from policyholders to provide coverage for risks.

[Clear my choice](#)

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**Question 8**

Answer saved

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Flag question

According to Tobin's Q theory, when the Q ratio is greater than 1, firms are likely to?

Select one:

- ☐ a. Decrease their investment.
- ☐ b. Liquidate existing assets.
- ☒ c. Increase their investment in new capital.
- ☐ d. Maintain current investment levels.

[Clear my choice](#)

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Quiz navigation

**Question 9**

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 Flag question

In which phase of demographic transition, birth rate was low while death rate was high?

Select one:

- ☐ a. Phase 1.
- ☐ b. Phase2.
- ☒ c. None.
- ☐ d. Phase 3.

[Clear my choice](#)

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**Question 10**

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 Flag question

Indifference curves have negative slope.
This is due to the following except?

Select one:

- ☐ a. If the quantity of one commodity increases with the quantity of the other remaining constant, the total utility of the consumer increases.
- ☒ b. The consumption level of one commodity can be increased only by reducing the consumption level of the other commodity.
- ☐ c. The commodities can substitute one another at any point on an indifference curve, but are not perfect substitutes.
- ☐ d. None.

[Clear my choice](#)

**Question 11**

Answer saved

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 Flag question

Fiscal expansion under a fixed exchange rate and perfect capital mobility will initially disturb the balance of payment equilibrium. Specifically, the balance of payment will be in surplus. The reason for this is that?

Select one:

- ☐ a. All.
- ☐ b. The decrease in imports will be less compared to the outflow of capital.
- ☒ c. The increase in imports will be more compared to the inflow of capital.
- ☐ d. The increase in imports will be less compared to the inflow of capital.

[Clear my choice](#)

**Question 13**

Answer saved

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 Flag question

Which of the following best describes the Monetary Transmission Mechanism?

Select one:

- ☒ a. The channels through which changes in monetary policy impact aggregate demand and inflation.
- ☐ b. The direct effect of interest rates on foreign exchange rates.
- ☐ c. The process by which fiscal policy affects the economy.
- ☐ d. The relationship between money supply and government spending.

[Clear my choice](#)

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**Question 14**

Answer saved

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 Flag question

Which of the following is the major reason for LDCs to accept foreign debt?

Select one:

- ☒ a. It helps LDCs take offs in to self-sustaining economic growth.
- ☐ b. It helps transform the economy structurally.
- ☐ c. All.
- ☐ d. It supplements scarce domestic resources.

[Clear my choice](#)

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Quiz navigation

**Question 15**

Answer saved

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 Flag question

According to Harrod-Domar growth model,

Select one:

- ☒ A. Investment is critical for growth
- ☐ B. Saving is less important for growth
- ☐ C. Capital-output ratio affects growth directly
- ☐ D. Increasing saving is enough for growth

[Clear my choice](#)

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**Question 16**

Answer saved

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 Flag question

A decrease in interest rates is likely to lead to?

Select one:

- ☒ a. Increased residential investment.
- ☐ b. Lower levels of inventory investment.
- ☐ c. Decreased business fixed investment.
- ☐ d. No change in investment levels.

[Clear my choice](#)

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**Question 17**

Answer saved

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 Flag question

The value of K bottles of wine is given by $V(t) = ke^{\sqrt{t}}$. If the discounting rate is $D(t) = e^{-rt}$, then the present value, $PV(t)$, of $V(t)$ is given by

Select one:

- ☐ A. $PV(t) = e^{-rt}$
- ☒ B. $PV(t) = ke^{\sqrt{t}}e^{-rt}$
- ☐ C. $PV(t) = \frac{1}{e^{rt}}$
- ☐ D. $PV(t) = \frac{1}{ke^{\sqrt{rt}}}$

[Clear my choice](#)

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**Question 18**

Answer saved

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Flag question

One is not the result of an increase in foreign income?

Select one:

- ☐ a. Shift of the domestic countries IS curve leftward.
- ☐ b. Increase in the exports of the domestic economy.
- ☒ c. Shifting of the domestic country's balance of payment rightward.
- ☐ d. Shift of the domestic countries IS curve rightward.

[Clear my choice](#)

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**Question 19**

Answer saved

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 Flag question

One is an exchange rate regime with no exchange rate commitment?

Select one:

- ☒ a. The managed float regime.
- ☐ b. The fixed but adjustable rate regime.
- ☐ c. The absolutely fixed rate regime.
- ☐ d. The active crawling peg rate regime.

[Clear my choice](#)

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**Question 20**

Answer saved

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Flag question

Which of the following is false about the central bank purchase of 100 birr bond by currency?

Select one:

- ☐ a. Currency in circulation increase by 100 birr.
- ☐ b. None.
- ☐ c. Monetary base increases by 100 birr.
- ☒ d. Reserve increases by 100 birr.

[Clear my choice](#)

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Quiz navigation

**Question 21**

Answer saved

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 Flag question

According to low level of equilibrium trap theory, countries get trapped at low level due to

Select one:

- ☒ A. Poverty
- ☐ B. An increase in per capita income
- ☐ C. A decrease in population
- ☐ D. D. None

[Clear my choice](#)

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Quiz navigation

**Question 22**

Answer saved

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Flag question

Which one of the following is a correct statement?

Select one:

- ☐ a. Parameters are measures found by using sample data values in the population.
- ☐ b. In econometrics, parameters are random parameters.
- ☒ c. One of the objectives of an econometrician is to estimate the parameters in regression models.
- ☐ d. In a multiple regression, we have only one independent variable.

[Clear my choice](#)

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**Question 23**

Answer saved

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 Flag question

Identify the correct statement about the Bretton Woods monetary system?

Select one:

- ☐ a. The International Monetary Fund can lend an unlimited amount of funds to member countries with no conditionality.
- ☒ b. The United States' announcement of the suspension of the convertibility of the dollar to gold ended the system.
- ☐ c. In normal times, a 10% change in the exchange rate is allowed.
- ☐ d. The destabilizing speculation was not the problem at the end of the system.

[Clear my choice](#)

**Question 24**

Answer saved

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 Flag question

Which one of the following statement is correct?

Select one:

- ☐ a. In a capital abundant country, the cost of producing labor intensive good is lower than capital intensive good.
- ☒ b. In a capital abundant country, the cost of producing capital intensive good is lower than labor intensive good.
- ☐ c. In a labor abundant country, the cost of producing labor intensive good is higher than capital intensive good.
- ☐ d. In a labor abundant country, the cost of producing labor intensive good is the same as capital intensive good.

[Clear my choice](#)

**Question 25**

Answer saved

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Flag question

The average number of times money is transferred between individuals, business firms and others in a given period of time is known as?

Select one:

- ☐ a. Money demand.
- ☒ b. Velocity of money.
- ☐ c. Liquidity of money.
- ☐ d. Money supply.

[Clear my choice](#)

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Quiz navigation

**Question 26**

Answer saved

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 Flag question

When the value of the British pound changes from \$1.25 to \$1.50, then?

Select one:

- ☐ a. The pound has depreciated and the dollar has appreciated.
- ☐ b. The pound has appreciated and the dollar has appreciated.
- ☒ c. The pound has depreciated and the dollar has depreciated.
- ☐ d. The pound has appreciated and the dollar has depreciated.

[Clear my choice](#)

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**Question 27**

Answer saved

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 Flag question

One of the following results in the supply of UK's Pound in Ethiopia?

Select one:

- ☒ a. The desire of UK residents and businesses to import Ethiopian goods and services.
- ☐ b. The desire of Ethiopian residents and businesses to import UK goods and services.
- ☐ c. The desire if UK residents and businesses to borrow funds and make investments in UK.
- ☐ d. The desire of Ethiopian residents and businesses to extend transfer payments to UK residents.

[Clear my choice](#)

**Question 28**

Answer saved

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 Flag question

What does the Quantity Theory of Money primarily assert?

Select one:

- ☐ a. The demand for money is elastic.
- ☒ b. Changes in the money supply have a proportional effect on price levels.
- ☐ c. Money supply directly influences interest rates.
- ☐ d. Inflation is solely caused by supply chain issues.

[Clear my choice](#)

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**Question 29**

Answer saved

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Flag question

Which of the following project worth measures helps to measure the efficiency of a project?

Select one:

- ☐ a. Internal rate of Return (IRR).
- ☒ b. Benefit Cost Ratio (BCR).
- ☐ c. All.
- ☐ d. Net Present Value (NPV).

[Clear my choice](#)

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**Question 30**

Answer saved

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Flag question

A differentiated product has?

Select one:

- ☐ a. no close substitutes.
- ☐ b. many perfect substitutes.
- ☐ c. no substitutes of any kind.
- ☒ d. close but not perfect substitutes.

[Clear my choice](#)

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Quiz navigation

**Question 31**

Answer saved

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Flag question

Which one of the following economic policy measure should be taken to reduce trade deficit?

Select one:

- ☐ a. Import promotion.
- ☒ b. Import substitution.
- ☐ c. Export substitution.
- ☐ d. A and B.

[Clear my choice](#)

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Quiz navigation

**Question 32**

Answer saved

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Flag question

What is "money neutrality" in monetary theory?

Select one:

- ☒ a. Money supply remains constant regardless of inflation.
- ☐ b. Money has no impact on real variables like output or employment in the long run.
- ☐ c. Money can substitute for all types of physical goods.
- ☐ d. Money supply affects only real variables and not nominal ones.

[Clear my choice](#)

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**Question 33**

Answer saved

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 Flag question

For the banking system as a whole,
deposit creation (or contraction) will stop
only when?

Select one:

- ☐ a. All currency are gone.
- ☐ b. All required reserves are gone.
- ☒ c. All excess reserves are gone.
- ☐ d. All reserves are gone.

[Clear my choice](#)

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Quiz navigation

**Question 34**

Answer saved

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 Flag question

One of the following statements is not true about the Mundell-Fleming model with policy?

Select one:

- ☐ a. Given a flexible exchange rate regime and perfect capital mobility, fiscal policy is ineffective at increasing income.
- ☐ b. Given a flexible exchange rate regime and perfect capital immobility, monetary policy is effective at increasing income.
- ☒ c. Given a flexible exchange rate regime and perfect capital immobility, fiscal policy is effective at increasing income.
- ☐ d. Given a flexible exchange rate regime and perfect capital mobility, monetary policy is ineffective at increasing income.

[Clear my choice](#)

**Question 35**

Answer saved

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 Flag question

Which of the following is a unique contribution of Keynesian economics?

Select one:

- ☐ a. The idea that savings equals investment.
- ☒ b. The concept of liquidity preference.
- ☐ c. The focus on long-term growth over short-term fluctuations.
- ☐ d. The belief that supply creates its own demand.

[Clear my choice](#)

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**Question 36**

Answer saved

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Flag question

Which of the following is a characteristic of endogenous growth models?

Select one:

- ☒ a. Knowledge and ideas contribute to sustained economic growth.
- ☐ b. Capital accumulation is the only source of growth.
- ☐ c. Growth is driven solely by external factors.
- ☐ d. Technological change is treated as an exogenous factor.

[Clear my choice](#)

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**Question 37**

Answer saved

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Flag question

According to Harrod-Domar growth model?

Select one:

- ☒ a. Investment via savings is critical for growth.
- ☐ b. Increasing savings is sufficient for growth.
- ☐ c. High capital-output ratio leads to high growth rate.
- ☐ d. Capital-output ratio affects growth directly.

[Clear my choice](#)

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**Question 38**

Answer saved

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Flag question

Identify the true statement?

Select one:

- ☒ a. Given a fixed exchange rate regime and perfect capital immobility, fiscal policy is effective at increasing income.
- ☐ b. Given a fixed exchange rate regime and perfect capital mobility, monetary policy is effective at increasing income.
- ☐ c. Given a fixed exchange rate regime and perfect capital immobility, monetary policy is effective at increasing income.
- ☐ d. Given a fixed exchange rate regime and perfect capital mobility, fiscal policy is effective at increasing income.

[Clear my choice](#)

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**Question 39**

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Flag question

The implication of Arthur Lewis unlimited supply of labor in traditional agriculture is that?

Select one:

- ☐ a. None of the above.
- ☐ b. Modern sector raises wages to attract labor from traditional sector.
- ☒ c. Modern sector faces serious shortage of labor supply.
- ☐ d. Transfer of labor to modern sector reduces marginal productivity of agriculture.

[Clear my choice](#)

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**Question 40**

Answer saved

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Flag question

What does the accelerator effect refer to in the context of investment?

Select one:

- ☐ a. The impact of government policies on investment levels.
- ☐ b. A decrease in fixed investment during economic booms.
- ☒ c. The phenomenon where an increase in demand leads to a more than proportional increase in investment.
- ☐ d. A decrease in investment due to falling consumer demand.

[Clear my choice](#)

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Question

**Question 41**

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 Flag question

Which of the following is useful tool to monitor the quality of project inputs and outputs?

Select one:

- ☐ a. Direct supervision and inspection.
- ☐ b. None of the above.
- ☒ c. Using external agencies to gauge them against a set of internationally or nationally recognized standards.
- ☐ d. Both A and B.

[Clear my choice](#)

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**Question 42**

Answer saved

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Flag question

Which of the following is a typical common characteristic feature of developing countries?

Select one:

- ☐ a. High Disguised unemployment.
- ☒ b. Heavy reliance on primary imports.
- ☐ c. High but declining unemployment.
- ☐ d. Low but rising population growth.

[Clear my choice](#)

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**Question 43**

Answer saved

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Flag question

An agreement between countries in a geographic region to reduce tariff and non-tariff barriers to the free flow of goods and factors of production between countries is?

Select one:

- ☒ a. Regional economic integration.
- ☐ b. Geographic economic-political integration.
- ☐ c. Cross cultural economic-political integration.
- ☐ d. Cross cultural economic integration.

[Clear my choice](#)

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**Question 44**

Answer saved

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 Flag question

Given production function

$Q = 10K^{0.5}L^{0.5}$. If output is set to be at least 200 units; $P_L = 10$ birr and $P_K = 40$ birr then determine the amount of K and L to be employed at minimum cost. That is $\min C = 40K + 10L$ subject to $200 \leq 10K^{0.5}L^{0.5}$

Select one:

- ☐ A. $K^* = 10$ and $L^* = 80$
- ☒ B. $K^* = 10$ and $L^* = 40$
- ☐ C. $K^* = 5$ and $L^* = 20$
- ☐ D. $K^* = 20$ and $L^* = 5$

[Clear my choice](#)

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**Question 45**

Answer saved

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 Flag question

Which of the following project appraisal criteria helps to compare projects that have different size?

Select one:

- ☐ a. IRR.
- ☐ b. BCR.
- ☒ c. All.
- ☐ d. NPV.

[Clear my choice](#)

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Quiz navigation

**Question 46**

Answer saved

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 Flag question

Which of the following is irrelevant to traded good?

Select one:

- ☐ a. Its use or production doesn't affect the country's net import and export position.
- ☐ b. It might be capable of being imported or exported due to the national trade policies.
- ☒ c. None of the above.
- ☐ d. If it is exportable item its domestic cost of production is usually lower than its boarder price.

[Clear my choice](#)

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**Question 47**

Answer saved

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 Flag question

A tariff on imports benefits domestic producers of the imported good because?

Select one:

- ☐ a. It reduces their producer surplus, making them more efficient.
- ☒ b. It raises the price for which they can sell their product on the domestic market.
- ☐ c. They get the tariff revenue.
- ☐ d. It prevents imports from rising above a specified quantity.

[Clear my choice](#)

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**Question 48**

Answer saved

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Flag question

A monetary system characterized first, by a floating exchange rate and then an attempt to the gold standard, and, in the end, by the competitive devaluations is?

Select one:

- ☐ a. The interwar experience.
- ☒ b. The Bretton Woods system.
- ☐ c. A gold exchange standard.
- ☐ d. The gold standard.

[Clear my choice](#)

**Question 49**

Answer saved

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 Flag question

Which one of the following is invalid about indifference curve?

Select one:

- ☐ a. The consumer derives more utility as he/she moves further from the origin.
- ☐ b. The slope of indifference curve indicates the amount of one good the individual is willing to give up for an additional unit of the other good.
- ☐ c. Indifference curves indicate the consumer is indifferent between market baskets.
- ☒ d. None.

[Clear my choice](#)



Question 50

Answer saved

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Flag question

Given the following demand and supply functions of the Cobweb model

$$Q_d = 400 - 20P_t \text{ and}$$

$$Q_s = -50 + 10P_{t-1}. \text{ The general solution of the model is given by}$$

Select one:

- ☐ A. It has no general solution.
- ☐ B. 15
- ☐ C. $A \left(\frac{-10}{20} \right)^t$
- ☒ D. $P_t = A \left(\frac{-10}{20} \right)^t + 15$

[Clear my choice](#)

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**Question 50**

Answer saved

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 Flag question

Given the following demand and supply functions of the Cobweb model

$$Q_d = 400 - 20P_t \text{ and}$$

$$Q_s = -50 + 10P_{t-1}. \text{ The general solution of the model is given by}$$

Select one:

- ☐ A. It has no general solution.
- ☐ B. 15
- ☐ C. $A\left(\frac{-10}{20}\right)^t$
- ☒ D. $P_{(t)} = A\left(\frac{-10}{20}\right)^t + 15$

[Clear my choice](#)

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Quiz navigation

**Question 51**

Answer saved

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Flag question

Which of the following is the concern of development?

Select one:

- ☐ a. What has been happening to inequality?
- ☐ b. All.
- ☐ c. What has been happening to unemployment?
- ☒ d. What has been happening to poverty?

[Clear my choice](#)

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**Question 52**

Answer saved

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 Flag question

One is true about the balance of payment (BOP) deficit in the domestic economy?

Select one:

- ☐ a. It is adjusted by an increase to the exchange rate when the exchange rate is defined as the price of the foreign currency in terms of the domestic currency and it is flexible.
- ☐ b. It results outward shift in the foreign exchange supply curve.
- ☐ c. It results leftward shift in the foreign exchange demand curve.
- ☒ d. All.

[Clear my choice](#)

**Question 55**

Answer saved

Marked out of 1.00

Flag question

Which one of the following factors shifts the domestic country's BOP curve to the right?

Select one:

- ☒ a. The depreciation of the home currency.
- ☐ b. The appreciation of the home currency.
- ☐ c. The autonomous increase in the home import.
- ☐ d. The autonomous decrease in the home export.

[Clear my choice](#)

**Question 56**

Answer saved

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Flag question

Which one of the following is incorrect about a dummy variable?

Select one:

- ☐ a. It is also known as a categorical variable.
- ☐ b. It is an approach used to transform qualitative information into a quantitative measure.
- ☒ c. It has its own natural order while assigning values to the variable.
- ☐ d. It is also known as an indicator variable.

[Clear my choice](#)

**Question 57**

Answer saved

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 Flag question

Which one of the following is correct about specific tariff?

Select one:

- ☐ a. An import tax that must be paid in kind (giving the government the good itself).
- ☐ b. Any tax on a particular imported good (as opposed to one on all imports).
- ☒ c. A tax on imports defined as an amount of currency per unit of the good.
- ☐ d. A requirement to pay the government a specified value of an imported good.

[Clear my choice](#)

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**Question 58**

Answer saved

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Flag question

Assuming a fixed exchange rate and income adjustment, one is wrong?

Select one:

- ☒ a. A surplus country's income will increase.
- ☐ b. All.
- ☐ c. A deficit country's induced income will increase.
- ☐ d. A deficit country's induced income will decrease.

[Clear my choice](#)

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**Question 59**

Answer saved

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Flag question

Which one of the following is false?

Select one:

- ☐ a. It is better to have $n-1$ dummy variables to keep the quality of the mode.
- ☒ b. The partial effect of a dummy variable is interpreted like that of a quantitative variable.
- ☐ c. Multiple linear regression is better than a simple linear regression model.
- ☐ d. Qualitative information can be either an independent or dependent variable.

[Clear my choice](#)

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**Question 60**

Answer saved

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 Flag question

Why is it important to measure the money supply in an economy?

Select one:

- ☐ a. To regulate trade deficits.
- ☐ b. To determine the government's expenditure.
- ☐ c. To control balance of payment.
- ☒ d. To analyse inflationary trends and monetary policy.

[Clear my choice](#)

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**Question 60**

Answer saved

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Flag question

Why is it important to measure the money supply in an economy?

Select one:

- ☐ a. To regulate trade deficits.
- ☐ b. To determine the government's expenditure.
- ☐ c. To control balance of payment.
- ☒ d. To analyse inflationary trends and monetary policy.

[Clear my choice](#)

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**Question 61**

Answer saved

Marked out of 1.00

Flag question

Which one of the following statements is false?

Select one:

- ☐ a. Both logit and probit models follow a sigmoid or S shape for predicted probabilities.
- ☐ b. Although the log of odds is linear in X, the probabilities themselves are not.
- ☐ c. Coefficients of the logit model and probit model slightly differ.
- ☒ d. In binary response models, marginal effects are less useful relative to odds ratios.

[Clear my choice](#)

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**Question 62**

Answer saved

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Flag question

In the short run, an increase in aggregate demand typically leads to?

Select one:

- ☒ a. Higher price levels.
- ☐ b. A decrease in investment.
- ☐ c. A decrease in real GDP.
- ☐ d. An increase in unemployment.

[Clear my choice](#)

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Quiz navigation

**Question 63**

Answer saved

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 Flag question

Choose the correct statement about the price adjustment mechanism under the gold standard?

Select one:

- ☒ a. The deficit in the BOP would be automatically adjusted by the outflow of gold from the deficit nation and the fall in the domestic price level.
- ☐ b. All of the above.
- ☐ c. The surplus in the BOP is automatically adjusted by the outflow of gold from the surplus nation.
- ☐ d. The deficit in the BOP is automatically adjusted by the inflow of gold to the deficit nation.

[Clear my choice](#)

**Question 64**

Answer saved

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Flag question

Consider Rostow's economic growth stages, at which stage do you think Ethiopia is found?

Select one:

- ☐ A. Drive to maturity
- ☒ B. Preparation for take-off
- ☐ C. take off
- ☐ D. Traditional stage

[Clear my choice](#)

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**Question 65**

Answer saved

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Flag question

Which of the following would be an implicit cost for the firm?

Select one:

- ☐ a. Of workers' wages and Salaries for the firm.
- ☒ b. Of wages forgone by the owner of the firm.
- ☐ c. Paid for leasing a building for the firm.
- ☐ d. Paid for production supplies for the firm.

[Clear my choice](#)

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**Question 66**

Answer saved

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Flag question

According to Rabie, which of the following properly defines sociocultural heritage of people in old cultures?

Select one:

- ☐ a. Their goal is growth & success.
- ☒ b. None of the above.
- ☐ c. They respond to economic incentives.
- ☐ d. They prefer work than leisure.

[Clear my choice](#)

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**Question 67**

Answer saved

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 Flag question

According to the principle of Gini coefficient, the value closer to one indicates

Select one:

- ☒ A. High Equality
- ☐ B. Low Inequality
- ☐ C. High Inequality
- ☐ D. perfect Equality

[Clear my choice](#)

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**Question 68**

Answer saved

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Flag question

One of the following justifies the use of Shadow Exchange Rate in Economic analysis of projects?

Select one:

- ☒ a. Presence of overvalued official exchange rate.
- ☐ b. None of the above.
- ☐ c. Presence of undervalued official exchange rate.
- ☐ d. Both B and C.
- ☐ e. Presence of domestic market distortion for traded goods and services.

[Clear my choice](#)

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**Question 69**

Answer saved

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Flag question

In the context of the IS-LM model, if the government increases its spending, the IS curve will?

Select one:

- ☒ a. Shift to the right.
- ☐ b. Shift to the left.
- ☐ c. Remain unchanged.
- ☐ d. Become steeper.

[Clear my choice](#)

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Quiz navigation

**Question 70**

Answer saved

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Flag question

Which of the following is NOT a type of financial market?

Select one:

- ☐ a. Capital market.
- ☐ b. Money market.
- ☐ c. Derivatives market.
- ☒ d. Labour market.

[Clear my choice](#)

[PREVIOUS PAGE](#)[NEXT PAGE](#)**Quiz navigation**

**Question 71**

Answer saved

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 Flag question

An industry with a large number of firms, differentiated products, and free entry and exit is called?

Select one:

- ☒ a. monopolistic competition.
- ☐ b. oligopoly.
- ☐ c. monopoly.
- ☐ d. perfect competition.

[Clear my choice](#)

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Quiz navigation

**Question 73**

Answer saved

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Flag question

The long run production time period refers?

Select one:

- ☐ a. A and B.
- ☒ b. A period just enough to alter the quantity of all inputs.
- ☐ c. A period which is 10 year.
- ☐ d. A period which is 2 year.

[Clear my choice](#)

[PREVIOUS PAGE](#)[NEXT PAGE](#)**Quiz navigation**

**Question 72**

Answer saved

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 Flag question

What is the primary implication of the Liquidity Preference Theory?

Select one:

- ☐ a. Higher interest rates lead to a higher demand for money.
- ☒ b. People prefer liquidity, leading to a trade-off between money and interest-bearing assets.
- ☐ c. Interest rates are fixed and do not respond to changes in money supply.
- ☐ d. Money demand is unaffected by changes in income levels.

[Clear my choice](#)

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**Question 73**

Answer saved

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Flag question

The long run production time period refers?

Select one:

- ☐ a. A and B.
- ☒ b. A period just enough to alter the quantity of all inputs.
- ☐ c. A period which is 10 year.
- ☐ d. A period which is 2 year.

[Clear my choice](#)

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**Question 74**

Answer saved

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Flag question

Assume that the total long run cost functions of the monopolist is given by $C = Q^2 + 8Q$. Determine the elasticity of LAC with respect to Q.

Select one:

- ☐ A. $\frac{2Q+8}{Q+8}$
- ☐ B. $\frac{2Q+8}{Q}$
- ☒ C. $\frac{Q}{Q+8}$
- ☐ D. $\frac{Q^2+8Q}{Q}$

[Clear my choice](#)

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**Question 75**

Answer saved

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Flag question

General equilibrium analysis is the study of?

Select one:

- ☒ a. All of the above.
- ☐ b. how an equilibrium is determined in all markets simultaneously.
- ☐ c. how an equilibrium is determined in all closely related markets.
- ☐ d. the effects of a change in a market, and all spillover effects in all related markets.

[Clear my choice](#)

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**Question 76**

Answer saved

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Flag question

When a project imports an input its boarder parity price is?

Select one:

- ☐ a. CIF price minus transport and distribution costs.
- ☐ b. None of the above.
- ☐ c. FOB price plus transport and distribution costs.
- ☒ d. CIF price plus transport and distribution costs.

[Clear my choice](#)

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**Question 77**

Answer saved

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Flag question

Consider Rostow's stages of economic growth, at which stage do you think Ethiopia is found?

Select one:

- ☐ a. Take off.
- ☐ b. Traditional stage.
- ☐ c. Drive to maturity.
- ☒ d. Preparation for take-off.

[Clear my choice](#)

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**Question 78**

Answer saved

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Flag question

Which one of the following is not true about Stage one production period?

Select one:

- ☐ a. This is the stage from initial production ($AP = 0$) up to the maximum of average product (where $MP = AP$).
- ☐ b. In this stage as there prevails positive marginal product throughout the end.
- ☒ c. Resources are over utilized and there is unfavorable working condition.
- ☐ d. In this stage a rational firm should increase production because the additional variable input employed will by large induce production.

[Clear my choice](#)

**Question 79**

Answer saved

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Flag question

The reason why developing countries have high dependency ratio as compared to developed countries is that?

Select one:

- ☐ a. Developing countries have population pyramid wider at the top.
- ☒ b. Developing Countries have more young population than developed countries.
- ☐ c. There is more institutionalized population in developing countries.
- ☐ d. Developing countries have more old dependents than that of developed ones.

[Clear my choice](#)

**Question 80**

Answer saved

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Flag question

In response to a recession, Keynesians would most likely recommend?

Select one:

- ☐ a. Reducing interest rates.
- ☐ b. Increasing the money supply.
- ☐ c. All of the above.
- ☒ d. Implementing expansionary fiscal policies.

[Clear my choice](#)

**Question 81**

Answer saved

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Flag question

Suppose we want to estimate the effect of education on wage of the individual considering gender as an interactive dummy variable written as $\text{wage} = \beta_0 + \delta_0 \text{Gender} + \beta_1 \text{Education} + \delta_1 \text{Gender} * \text{Education} + U_i$ where gender is a dummy variable (=1 for female, =0, otherwise) and Education is a continuous variable measures in years of schooling. We found that both 0 and 1 are statistically insignificant, the type of regression we found is known as?

Select one:

- ☐ a. Dissimilar regressions.
- ☐ b. Coincident regressions.
- ☒ c. Concurrent regressions.
- ☐ d. Parallel regressions.

[Clear my choice](#)

**Question 82**

Answer saved

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Flag question

Which non-collusive oligopoly model is also referred as a sticky price model?

Select one:

- ☒ a. Cournot's duopoly model.
- ☐ b. Bertrand duopoly model.
- ☐ c. Kinked demand curve model.
- ☐ d. Cartel.

[Clear my choice](#)

**Question 83**

Answer saved

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Flag question

The implication of A. Lewis unlimited supply of labour in traditional agriculture is that

Select one:

- ☒ A. Marginal productivity of agriculture is high
- ☐ B. C. Capitalists raise wages to attract labour
- ☐ C. Marginal productivity of agriculture declines as labour transfers to other sectors
- ☐ D. None

[Clear my choice](#)

**Question 84**

Answer saved

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Flag question

The logit model is different from OLS (i.e., LPM) because?

Select one:

- ☐ a. In the logit model, predicted probabilities are linearly related to explanatory variable.
- ☐ b. In the logit model, the slope coefficient of a variable gives the change in the dependent variable associated with a unit change in that variable.
- ☐ c. In the OLS model, the predicted probabilities follow a sigmoid or S shape.
- ☒ d. In the logit model, the slope coefficient of a variable gives the change in the log of the odds associated with a unit change in that variable.

[Clear my choice](#)

**Question 85**

Answer saved

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Flag question

In the context of the Solow Growth Model, what does the term "steady state" refer to?

Select one:

- ☐ a. The point where GDP growth is maximized.
- ☒ b. The point where capital per worker remains constant.
- ☐ c. A temporary economic equilibrium.
- ☐ d. The level of output where savings exceed investment.

[Clear my choice](#)

**Question 86**

Answer saved

Marked out of 1.00

 Flag question

According to the Solow Growth Model, if a country saves a higher fraction of its output, it will?

Select one:

- ☐ a. Experience a permanent increase in growth rates.
- ☐ b. See no change in its long-term growth rate.
- ☐ c. Shift to a lower steady state.
- ☒ d. Move to a new steady state with a higher level of capital per worker.

[Clear my choice](#)

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**Question 87**

Answer saved

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Flag question

Which one of the following statement is incorrect about quota?

Select one:

- ☒ a. The revenue from quota could goes to exporters.
- ☐ b. The revenue from quota could goes to importers.
- ☐ c. The revenue from quota could goes to consumers.
- ☐ d. Quota generates revenue for the government if government auction license.

[Clear my choice](#)



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Flag question

Given $Q(K, L) = K^{\frac{1}{3}} L^{\frac{2}{3}}$ what will be the MRTS(L, K) if the two factors of production are scaled up by a factor of λ ?

Select one:

- ☐ A. $\frac{\lambda^2 MPP_L}{\lambda MPP_K}$
- ☐ B. $\frac{\lambda^2 2K}{L}$
- ☒ C. $\frac{2K}{L}$
- ☐ D. $\frac{\lambda^2 MPP_L}{2\lambda MPP_K}$

[Clear my choice](#)

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**Question 89**

Answer saved

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 Flag question

Which of the following is relevant to the concept of Foreign exchange premium?

Select one:

- ☐ a. Both A and B.
- ☐ b. None of the above.
- ☐ c. It is defined as the proportion by which official exchange rate overstates the real value of non-traded goods and services relative to traded goods and services.
- ☒ d. It is defined as the proportion by which official exchange rate overstates the real value of local currency.

[Clear my choice](#)

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**Question 90**

Answer saved

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Flag question

Forward exchange rates are useful for those who wish to?

Select one:

- ☒ a. Protect themselves from the risk that the exchange rate will change before a transaction is completed.
- ☐ b. Gamble that a currency will rise in value.
- ☐ c. All of the above.
- ☐ d. Gamble that a currency will fall in value.

[Clear my choice](#)

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**Question 91**

Answer saved

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Flag question

Which of the following is not functions of financial intermediaries?

Select one:

- ☐ a. They promote saving and investment habits.
- ☒ b. They bring instability in the capital market.
- ☐ c. They discourage hoarding.
- ☐ d. All financial intermediaries provide liquidity.

[Clear my choice](#)

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**Question 92**

Answer saved

Marked out of 1.00

Flag question

A firm that has monopolistic power in product market and faces a perfectly competitive factor market?

Select one:

- ☐ a. Pays factors a price that is greater than their value marginal product.
- ☐ b. Hires labor that is greater than it would have hired if it were in a perfectly competitive product market.
- ☒ c. The demand of the firm for a single variable factor is given by the marginal revenue product (MRP) of the factor.
- ☐ d. Can influence the wage rate.

[Clear my choice](#)

**Question 93**

Answer saved

Marked out of 1.00

Flag question

Informal sector is advised to be promoted for one of the following reasons.

Select one:

- ☐ A. Provision of formal training
- ☒ B. Low capital intensity
- ☐ C. Use of imports
- ☐ D. Creation of unemployment

[Clear my choice](#)

**Question 94**

Answer saved

Marked out of 1.00

Flag question

Choose the correct statement among the following?

Select one:

- ☐ a. In a model where Y is qualitative, our objective is to estimate its mean value given the values of the regressors.
- ☐ b. If an intercept is included in the model and if a qualitative variable has m categories, then it is advisable introduce $m+1$ dummy variables.
- ☒ c. In a model where Y is quantitative, our objective is to estimate its mean value given the values of the regressors.
- ☐ d. If a qualitative variable has K categories, you should include K dummies provided you included the common intercept in the model.

[Clear my choice](#)

**Question 95**

Answer saved

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Flag question

Given the dependence ratio of a country is 50% with 5 million of old age population, how many is middle age population?

Select one:

- ☐ a. 50 million.
- ☒ b. None.
- ☐ c. 20 million.
- ☐ d. 5 million.

[Clear my choice](#)

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**Question 96**

Answer saved

Marked out of 1.00

Flag question

Which one is not an element of vicious circle of poverty from the demand side?

Select one:

- ☐ a. Low Income.
- ☐ b. Low Savings.
- ☒ c. Low productivity.
- ☐ d. Low investment.

[Clear my choice](#)

**Question 97**

Answer saved

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Flag question

Keynesian economists believe that?

Select one:

- ☒ a. Aggregate demand is the primary driver of economic activity.
- ☐ b. Long-term growth is unaffected by short-term demand fluctuations.
- ☐ c. Markets are always self-correcting.
- ☐ d. Supply creates its own demand.

[Clear my choice](#)

**Question 98**

Answer saved

Marked out of 1.00

Flag question

Which of the following is NOT a component of inventory investment?

Select one:

- ☐ a. Raw materials.
- ☐ b. Office supplies.
- ☒ c. Finished goods.
- ☐ d. Work-in-progress.

[Clear my choice](#)

**Question 99**

Answer saved

Marked out of 1.00

 Flag question

The Golden Rule level of capital is defined as the level that maximizes?

Select one:

- ☒ a. Consumption per capita.
- ☐ b. Population growth.
- ☐ c. Investment in physical capital.
- ☐ d. Total output.

[Clear my choice](#)

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**Question 100**

Answer saved

Marked out of 1.00

Flag question

What is the primary focus of the Solow Growth Model?

Select one:

- ☐ a. Short-term economic fluctuations.
- ☐ b. Monetary policy effects on inflation.
- ☒ c. Long-term economic growth and the role of capital accumulation.
- ☐ d. Fiscal policy impacts on unemployment.

[Clear my choice](#)

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